

Procure Space ETF

SPCX NASDAQ

|      |                  |                              |                                      |                       |
|------|------------------|------------------------------|--------------------------------------|-----------------------|
| Hold | \$121.44 ▼ 2.06% | 12M Price Target<br>\$145.00 | 52-Week Range<br>\$120.10 – \$225.64 | Market Cap<br>\$1.60T |
|------|------------------|------------------------------|--------------------------------------|-----------------------|

SPCX: Space ETF Bleeds as SpaceX Sentiment Sours

WHAT HAPPENED

- SPCX is down about 11% in a week and sitting at the very bottom of its 52-week range (\$120–\$225). Today's dip on lighter volume (20M vs 80M+ Friday) tells me the panic selling is easing — this looks more like exhaustion than fresh conviction to dump. The catalyst is SpaceX headline soup: 6-day losing streak on the underlying, Starship Flight 13 delayed again on engine issues, and AST SpaceMobile (a top holding) down 50% from highs after a \$1B capital raise — meaning they sold new shares to fund operations, which dilutes existing holders.
- Options flow is actually screaming bullish underneath the selling — put/call ratio of 0.59 and unusual call buying at \$120/\$123/\$125 strikes expiring this month. Somebody with real money is betting this bounces.

WHY IT MATTERS

Here's what I think is really going on: SPCX is a concentrated basket of space names, so when SpaceX (the ecosystem gravity center) hits a rough patch — Starship delays, no confirmed DoD deal yet — the whole ETF gets marked down even though SpaceX isn't publicly traded. That's a mispricing opportunity IF the pending Defense Department contract that Barron's mentioned actually lands, because it would re-rate the entire launch/satellite complex. The AST SpaceMobile capital raise is a bigger signal than people realize — the satellite broadband buildout is a capex arms race, and the companies burning cash now are the ones that need friendly capital markets to survive. Watch for consolidation: weaker names get acquired or diluted, stronger ones (Rocket Lab, Iridium) take share.

POLICY & POLITICAL WATCH

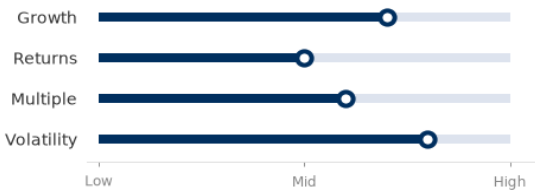
The FY2027 defense authorization is being marked up right now and space-based assets (missile defense via "Golden Dome" architecture, resilient satcom, launch capacity) are one of the few line items with bipartisan love — if that budget clears with space allocations intact, SPCX holdings like launch providers and satellite operators get a multi-year revenue runway. On the flip side, NASA's commercial LEO destinations program funding is at risk in appropriations — a cut there would hurt the smaller-cap holdings that depend on NASA anchor tenancy. Also watch FCC spectrum decisions on direct-to-cell satellite rules — a favorable ruling is jet fuel for AST and Globalstar, an unfavorable one caps their TAM (total addressable market — how big the opportunity can get).

IS IT EXPENSIVE?

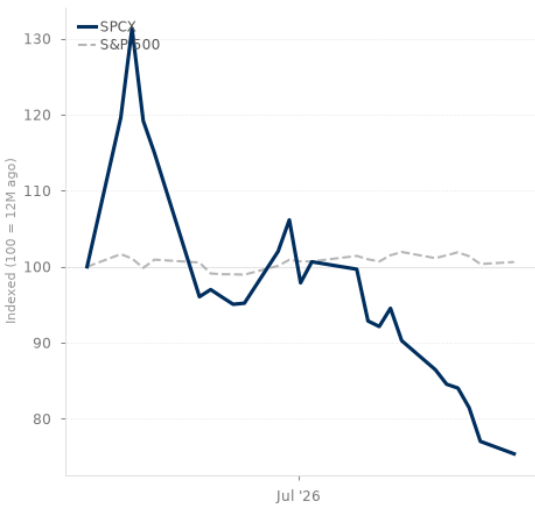
Key Data

|                     |          |
|---------------------|----------|
| Price (USD)         | \$121.44 |
| 12M Price Target    | \$145.00 |
| Upside / (Downside) | +19.4%   |
| Market Cap          | \$1.60T  |
| FY2026E Revenue     | —        |
| FY2027E Revenue     | —        |
| FY2026E EPS         | N/M      |
| FY2027E EPS         | N/M      |
| Fwd P/E             | N/M      |

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

| TIMEFRAME | BULL CASE | BASE CASE | BEAR CASE |
|-----------|-----------|-----------|-----------|
| 1 Month   | \$135.00  | \$125.00  | \$115.00  |
| 6 Months  | \$160.00  | \$140.00  | \$110.00  |
| 1 Year    | \$190.00  | \$150.00  | \$100.00  |
| 2 Years   | \$230.00  | \$175.00  | \$95.00   |
| 5 Years   | \$320.00  | \$220.00  | \$85.00   |
| 10 Years  | \$500.00  | \$300.00  | \$75.00   |

WHAT'S MOVING IN THE SECTOR

**HEATING UP:** Energy (+2.4% over 5 days) is quietly leading — geopolitical premium plus AI power demand story. Tech is bouncing today (+0.79%) but still red on the week.

**COOLING OFF:** Industrials and Consumer Staples both soft — defensive rotation isn't working either, which suggests this isn't a risk-off tape, it's a specific space/satellite sentiment problem.

**ROTATION WATCH:** Record short interest across US stocks (per today's Investing.com piece) means positioning is defensive despite indices near highs — any positive catalyst could trigger a short squeeze in beaten-down names like SPCX holdings.

**RELATED PLAY:** If you like the space thesis but want less single-name drama, ITA (defense ETF) captures the same government spending tailwind with lower volatility. Or go direct on Rocket Lab (RKLB) if you want the launch-cadence pure play.

WHO'S WINNING IN THIS SPACE?

- RKLB (Rocket Lab): Winning the "not SpaceX but still executing" trade — Neutron rocket progress and growing DoD backlog make it the cleanest launch story.
- IRDM (Iridium): Actual free cash flow (real cash left after paying bills) and government contracts make it the boring-but-working satellite holding.

**SPCX CONTEXT:** SPCX is lagging its best individual holdings because the ETF is weighted toward the more speculative names — meaning when sentiment turns risk-off in space, the ETF gets hit harder than the quality names inside it. That's actually a bullish setup if you believe in a sentiment reversal — the ETF has more torque up than the individual leaders.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

**CONVICTION:** 6/10 — cautiously constructive at these levels, but I want to see the DoD contract confirm or Starship Flight 13 succeed before I get louder.

**POSITION SIZE:** 2-4% of portfolio — this is a thematic satellite, not a core holding. Space is real but lumpy.

**ENTRY POINTS:** Scale in at \$118-122 (current support), add on any dip to \$115 with a hard stop below.

**TIME HORIZON:** 12-24 months — the catalyst path is defense budget clarity in Q4 + at least one successful Starship flight + AST commercial launches.

**WHEN TO BAIL:** Break below \$115 on heavy volume, OR if the defense authorization strips space provisions in conference committee, OR if two top-5 holdings do dilutive raises in the same quarter.

**HEDGING:** Own a defense ETF (ITA) alongside — same government spending tailwind, way less headline whiplash. Or just size smaller and sleep better.